

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 889

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO STATE PROCUREMENT; AMENDING SECTION 67-9203, IDAHO CODE, TO REVISE DEFINITIONS AND TO DEFINE TERMS; AMENDING SECTION 67-9205, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE POWERS AND DUTIES OF THE ADMINISTRATOR; AMENDING SECTION 67-9208, IDAHO CODE, TO REVISE PROVISIONS REGARDING SOLICITATIONS; AMENDING SECTION 67-9210, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE AWARD OF CONTRACT; REPEALING SECTION 67-9211, IDAHO CODE, RELATING TO MULTIPLE AWARDS; AMENDING CHAPTER 92, TITLE 67, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 67-9211, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING MULTIPLE AWARDS; AMENDING SECTION 67-9212, IDAHO CODE, TO REVISE PROVISIONS REGARDING CONTRACTS IN WRITING; AMENDING SECTION 67-9215, IDAHO CODE, TO PROVIDE FOR A CERTAIN EXCEPTION TO THE DISCLOSURE OF RECORDS; AMENDING SECTION 67-9217, IDAHO CODE, TO REVISE PROVISIONS REGARDING DISQUALIFICATION OF VENDORS; AMENDING SECTION 67-9230, IDAHO CODE, TO REVISE PROVISIONS REGARDING CERTAIN PROHIBITIONS; AMENDING SECTION 67-9232, IDAHO CODE, TO REVISE PROVISIONS REGARDING CHALLENGES AND APPEALS; AMENDING SECTION 67-9233, IDAHO CODE, TO REVISE PROVISIONS REGARDING ETHICS IN PROCUREMENT; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 67-9203, Idaho Code, be, and the same is hereby amended to read as follows:

67-9203. DEFINITIONS. As used in this chapter:

(1) "Acquisition" means the process of procuring property.

(2) "Administrator" means the administrator of the division of purchasing as created by section 67-9204, Idaho Code.

(3) "Agency" means all officers, departments, divisions, bureaus, boards, commissions and institutions of the state, including the public utilities commission, but excluding:

(a) The legislative and judicial branches of government;

(b) The governor, lieutenant governor, secretary of state, state controller, state treasurer, attorney general and superintendent of public instruction; and

(c) Except as provided in section 67-9234, Idaho Code, a state institution of higher education that complies with the provisions of section 67-9225, Idaho Code.

(4) "Best and final offer" means a final written offer submitted by a bidder in response to a request by the administrator during negotiations or following material changes to a solicitation.

~~(4)~~ (5) "Bid" means a written offer to perform a contract to sell or otherwise supply property in response to a solicitation.

~~(5)~~ (6) "Bidder" means a vendor who has submitted a bid on property to be acquired by the state.

~~(6)~~ (7) "Contract" means an agreement for the acquisition of property, including a purchase order.

~~(7)~~ (8) "Contractor" means a vendor who has been awarded a contract.

~~(8)~~ (9) "Director" means the director of the department of administration as created by section 67-5701, Idaho Code.

~~(9)~~ (10) "Environmental, social, and governance standards" means procurement standards that screen or score bids, in whole or in part, on subjective ethical or sustainability criteria unrelated to the specifications in a solicitation or the qualifications of a bidder.

(11) "Frivolous protest" means a challenge to a solicitation or contract award that:

(a) Lacks any arguable basis in law or fact;

(b) Is not supported by a good faith argument for the extension, modification, or reversal of an existing contract award;

(c) Is filed for an improper purpose, such as to harass, cause unnecessary delay, or needlessly increase the cost of the procurement process;
or

(d) Asserts claims that are identical or substantially similar to claims previously adjudicated by the administrator or a court of competent jurisdiction, including proceedings in Idaho and other states, involving the same vendor and a similar procurement.

~~(10)~~ (12) "Lowest responsible bidder" means the responsible bidder whose bid reflects the lowest acquisition price to be paid by the state and meets the bid qualifications, except that when specifications are valued or comparative performance evaluations are conducted, the results of such examinations and the relative score of valued specifications will be weighed, as set out in the specifications, in determining the lowest acquisition price.

(13) "Multiple-award contract" means a contract awarded to two (2) or more bidders to furnish the same or similar property when necessary or convenient to ensure adequate delivery, service, or product compatibility.

~~(11)~~ (14) "Open contract" means a contract awarded by the state through the division of purchasing as a result of a competitive solicitation to one (1) or more vendors who have agreed to allow all agencies to procure specified property under the terms and conditions set forth in the contract.

~~(12)~~ (15) "Procure" means to obtain property for state use in a manner other than by gift, including, but not limited to, purchase, lease, or rent.

~~(13)~~ (16) "Property" means goods, services, parts, supplies, and equipment, both tangible and intangible, including, but not limited to, designs, plans, programs, systems, techniques, and any rights or interests in such property.

(17) "Request for information" means a formal request to potential vendors to provide information on their capabilities, services, and pricing for the purpose of identifying the scope of requested work, which may include eventual procurement of property, in order to create a draft request for proposals.

1 (18) "Request for proposal" means a formal request for vendors to sub-
 2 mit a bid, which includes the total scope of services and is the basis of the
 3 award of a contract.

4 (19) "Request for quote" means an informal request to vendors for pric-
 5 ing and terms on specific property.

6 ~~(14)~~ (20) "Sole source" means the only vendor from whom specific prop-
 7 erty is available to procure.

8 ~~(15)~~ (21) "Solicitation" means an invitation to bid, a request for pro-
 9 posal, or a request for quote issued pursuant to this chapter for the purpose
 10 of procuring property.

11 ~~(16)~~ (22) "Specifications" means the standards or requirements for
 12 property to be procured as explicitly stated in a solicitation or contract.

13 ~~(17)~~ (23) "State institution of higher education" means Boise state
 14 university, Idaho state university, or Lewis-Clark state college.

15 ~~(18)~~ (24) "Vendor" means a person or entity capable of supplying prop-
 16 erty to the state.

17 SECTION 2. That Section 67-9205, Idaho Code, be, and the same is hereby
 18 amended to read as follows:

19 67-9205. POWERS AND DUTIES OF THE ADMINISTRATOR. The administrator of
 20 the division of purchasing:

21 (1) Shall acquire all property for state agencies according to the pro-
 22 visions of this chapter;

23 (2) Shall acquire all property by competitive solicitation, except as
 24 otherwise provided;

25 (3) Shall determine, based on the specifications and matters relating
 26 to responsibility, the lowest responsible bidder or bidders in all competi-
 27 tive solicitations;

28 (4) Shall enter into contracts and any modifications thereto for the
 29 acquisition of property on behalf of and in the name of state agencies;

30 (5) Shall, when economically feasible and practical, consolidate so-
 31 licitations and acquire property in amounts as large as can be efficiently
 32 managed and controlled;

33 (6) Shall establish a common time and date for the submission of best
 34 and final offers. If a bidder does not submit a notice of withdrawal or a best
 35 and final offer, the bidder's immediate previous offer shall be the bidder's
 36 best and final offer;

37 ~~(6)~~ (7) May, in the evaluation of paper product bids, give those items
 38 that meet the recycled content standards as specified by the administrator
 39 a five percent (5%) purchasing preference. As such, those qualifying paper
 40 products may be considered to cost five percent (5%) less when choosing the
 41 lowest responsible bidder;

42 ~~(7)~~ (8) May appoint a deputy who shall have the power to act for the
 43 administrator and in the administrator's place while absent, which deputy
 44 shall be bonded to the state of Idaho as prescribed by chapter 8, title 59,
 45 Idaho Code;

46 ~~(8)~~ (9) May require from any contractor the submission of a performance
 47 bond for such sum as will, in the opinion of the administrator, guarantee the
 48 faithful performance of such contract, and the amount and requirement there-
 49 for shall be set out in the specifications;

1 ~~(9)~~ (10) May enter into open contracts based on actual or estimated re-
 2 quirements;

3 ~~(10)~~ (11) May enter into contracts, including leases and rentals, for
 4 periods of time exceeding one (1) year, provided that such contracts contain
 5 no penalty to or restriction ~~upon~~ on the state in the event cancellation is
 6 necessitated by a lack of funding for any such contract;

7 ~~(11)~~ (12) Is authorized and empowered to formulate rules, subject to the
 8 approval of the director, to effect the provisions of this chapter;

9 ~~(12)~~ (13) May enter into negotiations for acquisitions in accordance
 10 with established rules of the division, provided that for all complex or
 11 high-value acquisitions, the administrator shall ensure that subject matter
 12 experts from the requisitioning agency are included as active participants
 13 in the negotiation process alongside procurement staff to ensure contrac-
 14 tual terms meet the functional and operational requirements of the state;

15 ~~(13)~~ (14) May inspect property supplied by a contractor to determine
 16 whether it meets specifications;

17 ~~(14)~~ (15) May classify, after review with the various agencies, the
 18 requirements of the state for all property that may be acquired, and may
 19 adopt standards of quality for property, and may establish specifications
 20 for acquisition. Each specification shall, until revised or rescinded,
 21 apply alike in terms and effect to each future acquisition of the classified
 22 property;

23 ~~(15)~~ (16) May delegate authority pursuant to section 67-9206, Idaho
 24 Code; and

25 ~~(16)~~ (17) May carry out such acts as are necessary to enforce the provi-
 26 sions of this chapter; and

27 (18) May issue a multiple-award contract to two (2) or more bidders.

28 SECTION 3. That Section 67-9208, Idaho Code, be, and the same is hereby
 29 amended to read as follows:

30 67-9208. SOLICITATIONS. (1) The administrator shall not make or
 31 cause to be made any acquisition until a requisition for the property to
 32 be acquired has been submitted to the administrator's office by the req-
 33 uisitioning agency. The requisition shall certify to the administrator's
 34 satisfaction that there are sufficient funds or balance in appropriations
 35 out of which the amount of the requisition may be lawfully paid, except as
 36 provided in section 67-9221(3), Idaho Code.

37 (2) Upon determining that an agency's requisition complies with the
 38 provisions of subsection (1) of this section, the administrator shall issue
 39 a solicitation. Notice of the solicitation shall be posted in a conspicuous
 40 manner as prescribed by rule. The notice shall describe the property to be
 41 acquired in sufficient detail to apprise a vendor of the exact nature of the
 42 property being sought and shall set forth the bid closing date, time and
 43 location.

44 (3) The administrator may establish by rule exceptions to the notice
 45 provisions in subsection (2) of this section; provided however, that the
 46 procurements excepted from the notice provisions must be minor in nature.

47 (4) At the time a notice of solicitation is issued, the administrator
 48 shall also publish the process for bid analysis or scoring. Such process
 49 shall not change after the solicitation is issued unless formally revised

1 through a written solicitation amendment or best and final offer process
 2 that does not materially change the intent or purpose of the original solic-
 3 itation.

4 SECTION 4. That Section 67-9210, Idaho Code, be, and the same is hereby
 5 amended to read as follows:

6 67-9210. AWARD OF CONTRACT. (1) The administrator shall award con-
 7 tracts to, and place orders for property with, the lowest responsible
 8 bidder. Qualifications for responsibility shall be prescribed by rule.
 9 However, environmental, social, and governance standards may not be used as
 10 a qualification for responsibility. Prior performance on state contracts
 11 may be used to determine qualifications.

12 (2) Where both the bids and quality of property offered are the same,
 13 preference shall be given to property of local and domestic production and
 14 manufacture or from bidders having a significant Idaho economic presence as
 15 defined in section 67-2349, Idaho Code. In connection with the award of any
 16 contract for the placement of any order for state printing, binding, engrav-
 17 ing or stationery work, the provisions of sections 60-101 and 60-103, Idaho
 18 Code, shall apply to the extent that the same may be inconsistent with any re-
 19 quirements contained in this section.

20 (3) In awarding contracts, the administrator shall not discriminate
 21 against, or grant preferential treatment to, any individual or group on the
 22 basis of race, sex, color, ethnicity, or national origin unless permitted by
 23 an exception described in section 67-5909A, Idaho Code.

24 (4) The administrator may award a contract to two (2) or more qualified
 25 bidders to furnish the same or similar property when necessary or convenient
 26 to ensure adequate delivery, service, or product compatibility.

27 SECTION 5. That Section 67-9211, Idaho Code, be, and the same is hereby
 28 repealed.

29 SECTION 6. That Chapter 92, Title 67, Idaho Code, be, and the same is
 30 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
 31 ignated as Section 67-9211, Idaho Code, and to read as follows:

32 67-9211. MULTIPLE AWARDS. (1) When a contract for property has been
 33 awarded to two (2) or more bidders in accordance with the provisions of sec-
 34 tion 67-9210, Idaho Code, a state agency shall select which bidder to pur-
 35 chase the property from based on factors including but not limited to:

36 (a) Total cost of ownership, including acquisition price, shipping or
 37 delivery charges, and any applicable maintenance or licensing fees;

38 (b) The degree to which the property integrates with existing agency
 39 equipment, software, or workflows without requiring excessive modifi-
 40 cation or retraining;

41 (c) The vendor's compatibility, price, availability, support ser-
 42 vices, delivery, and past performance;

43 (d) The vendor's ability to meet the agency's required delivery sched-
 44 ule or project timeline;

45 (e) The vendor's quality and proximity of technical support, warranty
 46 terms, and the availability of training or installation services;

(f) The vendor's documented history of reliability, quality of goods, and responsiveness under the current contract or previous agency engagements; and

(g) The vendor's willingness to cover costs and liabilities related to the replacement of existing property.

(2) State agencies that make recurring purchases pursuant to a contract awarded pursuant to this section shall perform the analysis outlined in subsection (1) of this section at least annually and provide the analysis to the administrator.

(3) State agencies shall notify the administrator of purchases made under a multiple-award contract that provides the names of the considered vendors, the factors provided in subsection (1) of this section that were prioritized for the purchase, and an explanation of why the selected vendor was chosen over other vendors.

SECTION 7. That Section 67-9212, Idaho Code, be, and the same is hereby amended to read as follows:

67-9212. CONTRACTS SHALL BE IN WRITING. (1) Every contract made by the administrator on behalf of the state shall be in writing and shall be signed manually or electronically by the contracting parties. Every contract shall be filed in the office of the administrator, together with all bids, specifications, and other documents and records associated with the acquisition or intended acquisition.

(2) For acquisitions involving federal funding requiring approval by the centers for medicare and medicaid services or other federal oversight agencies, the administrator shall ensure that all vendor negotiations are completed and a final contract is agreed on prior to the submission of the contract for federal review, unless otherwise prohibited by federal law.

SECTION 8. That Section 67-9215, Idaho Code, be, and the same is hereby amended to read as follows:

67-9215. PRESERVATION AND DISCLOSURE OF RECORDS -- EXCEPTION. (1) The administrator shall preserve all records relating to solicitations in the administrator's office, and information with respect thereto, in such form as the administrator shall prescribe by rule, for a period of three (3) years after the date of final action, or for a period of time as may be prescribed by a record retention guideline schedule approved by the director. Records preserved under the provisions of this section shall be subject to disclosure according to chapter 1, title 74, Idaho Code.

(2) If a solicitation is canceled prior to award of a contract, the administrator shall immediately return all bids to the submitting vendors or delete bids that were received electronically. Bids returned or deleted pursuant to this subsection shall not be subject to disclosure under chapter 1, title 74, Idaho Code.

(3) Vendor information provided in a request for information shall not be subject to disclosure unless the vendors respond to the relevant solicitation as provided in section 67-9208, Idaho Code.

SECTION 9. That Section 67-9217, Idaho Code, be, and the same is hereby amended to read as follows:

67-9217. DEBARMENT AND DISQUALIFICATION OF VENDORS. (1) A debarred or disqualified vendor may not submit a bid.

(2) The administrator may debar a vendor from bidding on any state project or service for a period of up to three (3) years upon a finding of performance failure. Performance failure shall include but not be limited to:

(a) A documented record of unsatisfactory performance on one (1) or more state contracts within the preceding three (3) years based on included contract metrics;

(b) Failure to complete a project or service within the time frames established in the contract without good cause; or

(c) A history of filing three (3) or more frivolous bid protests, as established by final agency decisions issued pursuant to section 67-9232, Idaho Code, within a twenty-four (24) month period.

~~(2)~~ (3) A vendor may be disqualified by the administrator for any of the following reasons:

(a) Failure to perform according to the terms of any contract;
 (b) Attempts by whatever means to cause specifications to be drawn so as to favor a specific vendor;

(c) Use of the provisions of this chapter to obstruct or unreasonably delay acquisitions by the state;

(d) Perjury in a vendor disqualification hearing;

(e) Knowingly ~~violate~~ violating the provisions of this chapter; or

(f) Debarment, suspension, or ineligibility from federal contracting of the vendor, its principals or its affiliates.

(4) (a) Upon determination of a performance failure or contract breach that does not represent an immediate risk to public health, safety, or integrity, the administrator shall issue a written cure notice to the vendor of the exact nature of the failure and the violated contract provisions.

(b) The vendor shall have fourteen (14) calendar days from receipt of the cure notice to correct the deficiency or provide a correction plan acceptable to the administrator.

(c) If the vendor fails to correct the deficiency or provide a correction plan accepted by the administrator within fourteen (14) calendar days, the administrator may proceed with debarment or disqualification of the vendor.

(d) If the vendor fails to complete the approved correction plan, the administrator may proceed with debarment or disqualification.

~~(3)~~ (5) A vendor shall be notified by registered mail within ten (10) days of the vendor's debarment or disqualification by the administrator. The vendor may, within thirty (30) days of the receipt of such notice, request a hearing, which shall be held in accordance with chapter 52, title 67, Idaho Code.

(6) The vendor may submit a challenge to the debarment or disqualification based on documented state actions that interfered with or delayed contract execution.

~~(4)~~ (7) In lieu of debarment or disqualification, for reasons not listed in subsection (3) of this section, the determinations officer at a hearing conducted pursuant to ~~subsection (3) of this section~~ the provisions of chapter 52, title 67, Idaho Code, may recommend to the director specific conditions to the vendor's continued participation in acquisitions by the state.

~~(5)~~ (8) Disqualification or conditions may be imposed for a period of not less than six (6) months or not more than five (5) years.

~~(6)~~ (9) For purposes of this section, "obstruction" means a lack of success in more than fifty percent (50%) of the specification challenges made in each of three (3) different acquisitions during any twenty-four (24) month period.

SECTION 10. That Section 67-9230, Idaho Code, be, and the same is hereby amended to read as follows:

67-9230. PROHIBITIONS. (1) No contract or any interest therein shall be transferred by the contractor to whom such contract is given to any other party without approval in writing by the administrator and by the board of examiners pursuant to section 67-1027, Idaho Code. Transfer of a contract without approval shall cause the annulment of the contract so transferred, at the option of the state. All rights of action, however, for any breach of such contract by the contracting parties are reserved to the state.

(2) No member of the legislature or any officer or employee of any branch of the state government shall directly, himself, or by any other person in trust for him or for his use or benefit or on his account, undertake, execute, hold or enjoy, in whole or in part, any contract made or entered into by or on behalf of the state of Idaho, if made by, through, or on behalf of the department in which he is an officer or employee; or if made by, through or on behalf of any other department unless the same is made after competitive bids.

(3) Except as provided in this chapter, no officer or employee shall influence or attempt to influence the award of a contract to a particular vendor, or to deprive or attempt to deprive any vendor of a contract.

(4) No officer or employee shall conspire with a vendor or its agent, and no vendor or its agent shall conspire with an officer or employee, to influence or attempt to influence the award of a contract, or to deprive or attempt to deprive a vendor of a contract.

(5) No officer or employee shall fail to use an open contract except as provided in this chapter.

(6) No officer or employee shall accept property knowing that the property does not meet specifications or other acceptance criteria set forth in the contract.

(7) Deprivation, influence or attempts thereat shall not include written reports, based ~~upon~~ on substantial evidence, sent to the administrator concerning matters relating to the responsibility of vendors.

(8) (a) No vendor or related party, or subsidiary, or affiliate of a vendor, may submit a bid to obtain a contract to provide property to the state, if the vendor or related party, ~~or~~ or affiliate, or subsidiary was paid for services used in preparing the specifications or if the ser-

vices influenced the procurement process to prepare the specifications for the property.

(b) Nothing in this subsection shall prohibit a vendor from submitting a bid after providing technical assistance relating to such bid, providing consulting or other services to a state agency, or participating in legislative committee meetings related to the property that is the subject of planned solicitation as long as:

(i) Such technical assistance, consulting or other services, or participation in legislative committee meetings does not result in bid specifications to be drawn such that only the vendor or related party, or affiliate or subsidiary of the vendor, can meet the bid specifications;

(ii) Such technical assistance, consulting or other services, or participation in legislative committee meetings does not otherwise provide the vendor or related party, or affiliate or subsidiary of the vendor, with a quantifiable and objective advantage in the bid process; and

(iii) Any work product or written documentation produced as a result of the technical assistance, consulting or other services, or participation in legislative committee meetings is accessible to a public records request if the vendor responds to a relevant solicitation as provided in section 67-9208, Idaho Code.

(9) No person who has served in elected public office within three hundred sixty-five (365) days of a bid submission deadline shall participate in the solicitation, bid, or contract process pursuant to the provisions of this chapter on behalf of a vendor.

(10) No vendor shall employ an individual who has served in public office, or worked in a state agency or institution, within three hundred sixty-five (365) days of winning a bid where such individual participated in the solicitation, bid, or contract process pursuant to the provisions of this chapter.

SECTION 11. That Section 67-9232, Idaho Code, be, and the same is hereby amended to read as follows:

67-9232. CHALLENGES AND APPEALS. (1) Bid specifications.

(a) There shall be, beginning with the date of receipt of notice, a period of no more than ten (10) working days in which any vendor, qualified and able to sell or supply the items to be acquired, may notify the administrator in writing of his intention to challenge the specifications and shall specifically state the exact nature of his challenge. The specific challenge shall describe the location of the challenged portion or clause in the specification document, unless the challenge concerns an omission, explain why any provision should be struck, added or altered, and contain suggested corrections.

(b) Upon receipt of the challenge, the administrator shall either deny the challenge, and such denial shall be considered the final agency decision, or he shall present the matter to the director for appointment of a determinations officer. If the director appoints a determinations officer, then all vendors, who are invited to bid on the property sought to be acquired, shall be notified of the appeal and the appointment of

1 a determinations officer and may indicate in writing their agreement or
 2 disagreement with the challenge within five (5) days. The notice to the
 3 vendors may be electronic. Any vendor may note his agreement or dis-
 4 agreement with the challenge. The determinations officer may, on his
 5 own motion, refer the challenge portion and any related portions of the
 6 challenge to the author of the specification to be rewritten with the
 7 advice and comments of the vendors capable of supplying the property,
 8 rewrite the specification himself and/or reject all or any part of any
 9 challenge. If specifications are to be rewritten, the matter shall be
 10 continued until the determinations officer makes a final determination
 11 of the acceptability of the revised specifications.

12 (c) The administrator shall reset the bid opening no later than fif-
 13 teen (15) days after final determination of challenges or the amendment
 14 of the specifications. If the administrator denies the challenge, then
 15 the bid opening date shall not be reset.

16 (d) The final decision of the determinations officer or administrator
 17 on the challenge to specifications shall not be considered a contested
 18 case within the meaning of the administrative procedure act; provided
 19 that a vendor disagreeing with specifications may include such dis-
 20 agreement as a reason for asking for appointment of a determinations
 21 officer pursuant to subsection (3) of this section.

22 (2) Nonresponsive bids.

23 (a) There shall be, beginning with the day following receipt of notice
 24 of rejection, a period of five (5) working days in which a bidder whose
 25 bid was found nonresponsive may appeal such decision to the director
 26 of the department of administration. A nonresponsive bid, within the
 27 meaning of this chapter, is a bid that does not comply with the bid invi-
 28 tation and specifications and shall not apply to a vendor whose bid is
 29 considered but who is determined not to be the lowest responsible bidder
 30 as defined in this chapter. The director shall:

31 (i) Deny the application; or

32 (ii) Appoint a determinations officer to review the record and
 33 submit a recommended order to the director to affirm or reverse the
 34 administrator's decision of bid nonresponsiveness.

35 (b) The director shall, upon receipt of a written recommendation from
 36 the determinations officer, sustain, modify or reverse the administra-
 37 tor's nonresponsive bid decision. An appeal conducted under the pro-
 38 visions of this subsection shall not be considered a contested case and
 39 shall not be subject to judicial review under the provisions of chapter
 40 52, title 67, Idaho Code.

41 (3) Lowest responsible bidder.

42 (a) A vendor whose bid is considered may, within five (5) working days
 43 following receipt of notice that he is not the lowest responsible bid-
 44 der, apply to the director for appointment of a determinations officer.
 45 The application shall set forth in specific terms the reasons why the
 46 administrator's decision is thought to be erroneous. Upon receipt of
 47 the application, the director shall within five (5) working days:

48 (i) Deny the application, and such denial shall be considered the
 49 final agency decision;

1 (ii) Appoint a determinations officer to review the record to de-
2 termine whether the administrator's selection of the lowest re-
3 sponsible bidder is correct; or

4 (iii) Appoint a determinations officer with authority to conduct a
5 contested case hearing in accordance with the provisions of chap-
6 ter 52, title 67, Idaho Code.

7 (b) The period for filing an application pursuant to paragraph (a) of
8 this subsection shall be suspended upon a request by a bidder for pub-
9 lic records related to the solicitation pursuant to chapter 1, title 74,
10 Idaho Code. The period for filing an application shall resume upon the
11 public agency's written confirmation it has produced the public records
12 requested or written denial of the request pursuant to section 74-103,
13 Idaho Code.

14 (c) A determinations officer appointed pursuant to paragraph (a) (ii)
15 of this subsection shall inform the director by written recommendation
16 whether, in his opinion, the administrator's selection of the lowest
17 responsible bidder is correct. The determinations officer in making
18 this recommendation may rely on the documents of record, statements
19 of employees of the state of Idaho participating in any phase of the
20 selection process, and statements of any vendor submitting a bid. A
21 contested case hearing shall not be allowed and the determinations
22 officer shall not be required to solicit statements from any person.
23 Upon receipt of the recommendation from the determinations officer,
24 the director shall sustain, modify or reverse the decision of the ad-
25 ministrator on the selection of the lowest responsible bidder, or the
26 director may appoint a determinations officer pursuant to paragraph
27 (a) (iii) of this subsection.

28 (d) (i) Any final decision rendered by the director that denied
29 an application pursuant to paragraph (a) (i) of this subsection or
30 that sustained the decision of the administrator under paragraph
31 (c) of this subsection shall be subject to judicial review. A pe-
32 tition for judicial review pursuant to this subsection shall be
33 filed within twenty-eight (28) days of any final decision rendered
34 by the director. The director shall as soon as possible transmit
35 to the reviewing court the original record or a certified copy of
36 the record that shall consist of all information received or re-
37 lied on by the administrator in making the lowest responsible bid-
38 der determination, all information submitted to the director or
39 the determinations officer, and any other information allowed by
40 the court. The court shall affirm the decision rendered by the di-
41 rector unless the court finds that the administrator's determina-
42 tion of the lowest responsible bidder or the director's findings,
43 inferences, conclusions, or decisions rendered are:

- 44 1. In violation of constitutional or statutory provisions;
- 45 2. In excess of the statutory authority of the agency;
- 46 3. Made on unlawful procedure;
- 47 4. Not supported by substantial evidence on the record as a
- 48 whole; or
- 49 5. Arbitrary, capricious, or an abuse of discretion.

(ii) In judicial review proceedings pursuant to the provisions of this paragraph, the time for filing of briefs and for hearings shall be set by the court at the earliest possible time, or in no event beyond twenty-eight (28) calendar days from the date of filing of the petition.

(iii) If the court does not affirm the decision rendered by the director, the proposed award of the contract or the award of the contract shall be deemed in violation of this chapter.

(e) A determinations officer appointed pursuant to paragraph (a) (iii) of this subsection shall conduct a contested case hearing and upon conclusion of the hearing shall prepare findings of fact, conclusions of law and a recommended order for the director of the department of administration. Upon receipt of the findings of fact, conclusions of law and recommended order, the director shall enter a final order sustaining, modifying or reversing the decision of the administrator on the selection of the lowest responsible bidder.

(4) Sole source procurement.

(a) In the case of a sole source procurement, there shall be a period of not more than five (5) working days from the last date of public notice in which any vendor, able to sell or supply the property to be acquired, may notify the administrator, in writing, of his intention to challenge the sole source procurement and briefly explain the nature of the challenge.

(b) Upon receipt of the challenge, the director shall either:

(i) Deny the application; or

(ii) Appoint a determinations officer to review the record and submit a recommended order to the director to affirm or reverse the administrator's sole source determination.

(c) The director shall, upon receipt of a written recommendation from the determinations officer, sustain, modify or reverse the administrator's sole source determination. An appeal conducted under the provisions of this subsection shall not be considered a contested case and shall not be subject to judicial review under the provisions of chapter 52, title 67, Idaho Code.

(5) The administrator may, on his own initiative, file a complaint with the director for a hearing before a determinations officer. The director shall appoint a determinations officer who shall make written recommendations to the director and the director shall render whatever decision is necessary to resolve the complaint.

(6) The director is hereby authorized and directed to appoint a determinations officer whenever one is required by this chapter. The officer shall meet and render whatever determination is called for. When a complaint is filed pursuant to subsection (2) of this section, no bid may be awarded until the final decision is rendered by the director; provided that in all other cases where a determinations officer is appointed by the director, the director shall have the power to allow the acquisition contract to be awarded to the successful bidder prior to or after the decision of the determinations officer if he determines such award to be in the best interests of the state. Any determinations officer appointed pursuant to this section shall exist only for the duration of unresolved complaints on an acquisition and shall

1 be dismissed upon resolution of all such complaints. The determinations
 2 officer shall be guided in his determination by the best economic interests
 3 of the state for both the near future and more extended periods of time. In
 4 addition to the powers conferred on the determinations officer, the director
 5 may:

- 6 (a) Impose the penalty prescribed by section 67-9231(3), Idaho Code;
- 7 (b) Enjoin any activity that violates this chapter;
- 8 (c) Direct that bids be rejected or sustained;
- 9 (d) Direct that specifications be rejected, sustained or modified; and
- 10 (e) Direct further legal action.

11 (7) Challenges or appeals conducted pursuant to subsection (1), (2),
 12 (3) (a) (i), or (3) (a) (ii) of this section shall not be considered to be a con-
 13 tested case as that term is defined in the administrative procedure act. An
 14 appeal conducted pursuant to subsection (3) (a) (iii) of this section shall be
 15 conducted as a contested case according to the provisions of chapter 52, ti-
 16 tle 67, Idaho Code.

17 (8) Any person or vendor filing a formal written protest of his inten-
 18 tion to challenge bid specifications pursuant to subsection (1) of this sec-
 19 tion, or an appeal pursuant to subsection (2) of this section, shall post
 20 with the administrator at the time of filing a protest bond in the form of a
 21 certified check, cashier's check, bid bond, or surety bond.

22 (a) For contract bids with an estimated total value of less than ten
 23 million dollars (\$10,000,000) over the initial term, the protest bond
 24 amount shall be equal to one percent (1%).

25 (b) For contract bids with an estimated total value of ten million
 26 dollars (\$10,000,000) or more over the initial term, the protest bond
 27 amount shall be equal to one-half percent (0.5%) and capped at ten mil-
 28 lion dollars (\$10,000,000).

29 (c) The agency shall provide the estimated contract value to any
 30 prospective protester within twenty-four (24) hours of a written re-
 31 quest.

32 (d) Failure to post the protest bond at the time of filing the formal
 33 written protest shall result in the immediate summary dismissal of the
 34 protest by the administrator.

35 (e) If the protest or appeal is successful, the protest bond shall be
 36 returned to the protester in full. If the protest or appeal is denied,
 37 and the final agency decision issued by the administrator or direc-
 38 tor finds the protest to be a frivolous protest as defined in section
 39 67-9203, Idaho Code, the state shall retain the protest bond in its en-
 40 tirety as liquidated damages for the delay and administrative costs of
 41 the procurement. Such findings shall constitute a determined frivolous
 42 protest for the purposes of debarment under section 67-9217, Idaho
 43 Code.

44 SECTION 12. That Section 67-9233, Idaho Code, be, and the same is hereby
 45 amended to read as follows:

46 67-9233. ETHICS IN PROCUREMENT. (1) It is the intent of the legisla-
 47 ture that all persons involved in the process of procuring property for the
 48 state conduct themselves in a manner that protects the public interest and

1 fosters confidence in the integrity of the process. To that end, this sec-
 2 tion shall apply to all such persons, including:

3 (a) State officers, even if the officer or officer's employer is ex-
 4 cluded from the definition of "agency" under section 67-9203, Idaho
 5 Code;

6 (b) State employees, even if the employee works for an officer, insti-
 7 tution or entity that is excluded from the definition of "agency" under
 8 section 67-9203, Idaho Code; and

9 (c) Vendors or any person acting on behalf of a vendor.

10 (2) In any matter relating to state procurement, it is an unethical
 11 breach of the public trust to:

12 (a) Knowingly attempt to realize personal gain through state office or
 13 employment by any conduct inconsistent with this chapter or any other
 14 applicable law or rule;

15 (b) Attempt to influence a state officer or employee to violate the pol-
 16 icy or provisions of this chapter or any other applicable law or rule; or

17 (c) Knowingly violate an applicable law or rule.

18 (3) Subject to due process requirements, and in addition to any other
 19 administrative, civil or criminal sanctions provided by law or rule, a state
 20 employee's supervisor may impose the following sanctions on the employee for
 21 an unethical breach of the public trust:

22 (a) A reprimand or warning, either oral or written;

23 (b) Suspension with or without pay for a specified period of time; or

24 (c) Termination of employment.

25 (4) In addition to any other administrative, civil or criminal sanction
 26 provided by law or rule, a vendor who commits an unethical breach of the pub-
 27 lic trust, or whose advocate or representative commits an unethical breach
 28 of the public trust, may be disqualified pursuant to section 67-9217, Idaho
 29 Code.

30 (5) Vendors, employees of a vendor, or any persons acting on behalf of
 31 a vendor shall report to the secretary of state any financial expenditures
 32 over fifty dollars (\$50.00), including but not limited to reimbursements for
 33 meals and travel.

34 SECTION 13. An emergency existing therefor, which emergency is hereby
 35 declared to exist, this act shall be in full force and effect on and after
 36 July 1, 2026.